industrial licencing regime, perpetuation and nationalization of sick industries and increasing control over the large private industrial sector were not working had become quite apparent to policymakers in the 1970s. The success of East Asian and South-east Asian countries with liberal industrial policies and open foreign investment made the contrast very stark.

The year 1980 marked the beginning of the reversal of failed industrial policies pursued from 1947 to 1979.

The government issued a new Industrial Policy Statement on 23 July 1980. While the Industrial Policy issued in July 1991 dismantled the 1956 Industrial Policy Statement and marked the end of Industrial Policy 1.0 and the beginning of Industrial Policy 2.0 in the country, the 1980 Industrial Policy Statement initiated the process of dismantling.

The significant liberalization measures to roll back the excesses of the licencing regime were as follows:

First, automatic expansion of capacity was permitted in all industries by 5 per cent per annum or 25 per cent in a Five-Year Plan period.

Second, favourable policy dispensation was created for 100 per cent export-oriented units and expansion of existing units for purposes of export by establishing a fast-track pathway for such proposals.

Third, industrial processes and technologies aimed at optimum utilization of energy or exploitation of alternative sources of energy were given special assistance, including finance on concessional terms.

There were quite a few other announcements that merely amounted to tinkering but had a positive signalling effect. These included raising investment limits to Rs 2 lakh for tiny units, Rs 20 lakh for small units and Rs 25 lakh for ancillaries.

Many more liberalizing measures followed in the 1980s. Gradually, a number of industries were delicenced. Licences for large investments in backward areas were abolished. Broad-banding of licences was permitted in